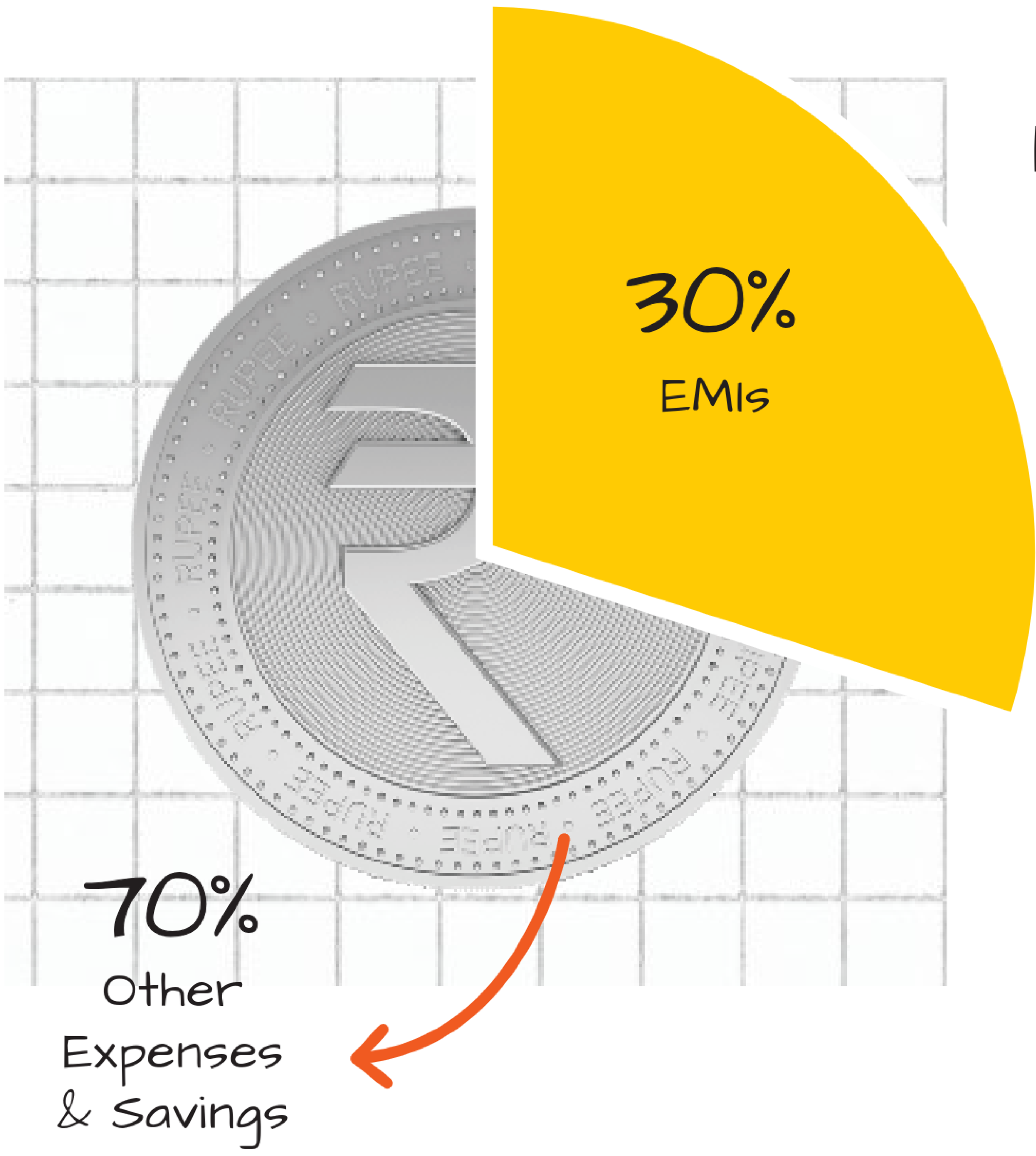
b. EMI to Salary Ratio

This formula represents the percentage of your EMI compared to your monthly salary. A thumb rule to follow here is that your total EMIs shouldn't be more than 30% of your monthly income.



$$\text{EMI to Salary Ratio} = \frac{\text{EMI}}{\text{Salary}} \times 100$$

However, banks may lend you more than 30% but no more than 50% of your salary as EMI. Limiting EMIs to 30% will leave room for any unexpectec expenses. This way, your financial stability will not be get disturbed.

Let me give you an example to help you understand better.

and have an EMI of ₹ 5,000.

In this case, your EMI to Salary ratio would be 5000/25000 = 0.2, which equals 20%.

This is a good sign that you are managing your expenses well.